CHAPTER 14

EMPLOYMENT GROWTH INFORMALISATION AND OTHER ISSUES

CHAPTER ESSENCE AT A GLANCE:
Examine workforce participation: formal versus informal sector employment, jobless growth paradox, casualization of the workforce, and policy initiatives like MGNREGA.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Worker-Population Ratio & Participation:** Worker-Population Ratio measures the proportion of a nation's population actively contributing to the production of goods and services; higher in rural areas due to poverty forcing early employment.

• **Formal vs Informal Sector Disparity:** Formal sector enterprises employ 10 or more hired workers, offering social security benefits (pension, gratuity) and trade union rights; Informal sector lacks job security, paid leave, and labor law protection.

• **Informalisation and Casualisation Trends:** Informalisation refers to the rising percentage of workforce employed in the insecure informal sector; Casualisation refers to the shift from regular salaried jobs to temporary daily-wage casual labor.

• **Jobless Growth Phenomenon:** A paradoxical economic condition where national GDP expands rapidly through capital-intensive automation and technology without generating proportionate new employment.

ESSENTIAL ECONOMIC MODELS & GOVERNING FORMULAS

$$\text{Worker-Population Ratio (WPR)} = \frac{\text{Total Number of Employed Workers}}{\text{Total National Population}} \times 100$$

Labor Participation Economic Density Metric

$$\text{Unemployment Rate} = \frac{\text{Number of Unemployed Persons Seeking Work}}{\text{Total Labor Force (Employed + Unemployed)}} \times 100$$

Standard Open Unemployment Rate Equation

$$\text{Jobless Growth Paradox} \iff \uparrow \text{GDP Growth Rate} \quad \text{accompanied by} \quad \approx 0\% \text{ Employment Elasticity}$$

Capital-Intensive Non-Employment Expansion Model

$$\text{Formal Sector Criterion} \iff \text{Hired Workforce} \geq 10 \text{ Employees} \rightarrow \text{Mandatory Social Security Coverage}$$

Statutory Organized Labor Threshold

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** Rural worker-population ratio is higher than urban worker-population ratio in India because rural youth and elderly enter the workforce early due to economic necessity, whereas urban youth stay in education.

• **Alert:** Disguised unemployment is widely prevalent in Indian agriculture, where more workers are engaged than actually required; removing surplus workers leaves total agricultural output unchanged (marginal productivity = zero).

• **Alert:** Under MGNREGA 2005, every rural household is guaranteed at least 100 days of wage employment per year, or unemployment allowance if work is not provided within 15 days.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. Define Worker-Population Ratio. What does a higher ratio indicate about an economy? [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Definition:** The percentage of the total population that is actively engaged in productive economic work (Total Workers divided by Total Population * 100). **[1 Mark]**

• **Indication:** Indicates the proportion of population actively generating economic output; useful for assessing employment density. **[1 Mark]**

2. Why is the Worker-Population Ratio higher in rural areas compared to urban areas in India? [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Lack of Educational Alternatives:** Rural youth enter farm work early due to limited educational access and rural poverty. **[1 Mark]**

• **Prolonged Higher Education in Cities:** Urban youth remain in school and universities longer to acquire specialized professional degrees before seeking jobs. **[1 Mark]**

3. Distinguish between the Formal (Organized) Sector and the Informal (Unorganized) Sector across three parameters. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Establishment Size:** Formal sector comprises enterprises employing 10 or more hired workers; Informal sector comprises enterprises employing fewer than 10 workers and self-employed units. **[1 Mark]**

• **Social Security Benefits:** Formal workers enjoy statutory social security (PF, gratuity, pensions, maternity benefits); Informal workers have zero statutory social security. **[1 Mark]**

• **Trade Union Rights:** Formal workers have legal rights to form trade unions and bargain collectively; Informal workers lack union protection. **[1 Mark]**

4. Explain the concepts of Informalisation and Casualisation of the workforce in India. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Informalisation:** A structural trend where the percentage of workers in the insecure informal sector rises while formal sector employment shrinks or stagnates (over 90 percent of Indian workers are informal). **[1.5 Marks]**

• **Casualisation:** A process where the proportion of temporary daily-wage casual workers increases over time at the expense of regular salaried jobs. **[1.5 Marks]**

5. What is meant by Disguised Unemployment? Explain with an agricultural example. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Concept:** A situation where more people are engaged in a job than actually required; if surplus workers are withdrawn, total output remains completely unchanged. **[1.5 Marks]**

• **Example:** A family farm requires 4 workers to cultivate 2 acres. All 7 family members work on it. The marginal productivity of the 3 extra workers is zero; they are disguisedly unemployed. **[1.5 Marks]**

6. Explain the phenomenon of 'Jobless Growth' observed in post-1991 India. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Definition:** An economic situation where GDP expands rapidly without a corresponding expansion in employment opportunities. **[1.5 Marks]**

• **Causation:** Post-1991 growth was driven by automated, capital-intensive technology in telecommunications and finance rather than labor-intensive manufacturing. **[1.5 Marks]**

7. Explain the key features, objectives, and significance of the Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA) 2005. [Score: 4 Marks]

Answer & Key Valuation Steps:

• **Statutory 100-Day Wage Guarantee:** Guarantees at least 100 days of unskilled manual wage employment in every financial year to every rural adult willing to work. **[1 Mark]**

• **Unemployment Allowance:** If employment is not provided within 15 days of application, the state must compulsorily pay an unemployment daily allowance. **[1 Mark]**

• **Focus on Rural Durable Assets:** Focuses on water conservation, flood control, rural roads, and afforestation to strengthen rural infrastructure. **[1 Mark]**

• **Social Impact:** Empowers rural women (one-third seats reserved), sets a wage floor preventing distress rural-to-urban migration, and alleviates seasonal hunger. **[1 Mark]**